

CRNC
CRNC N/A

Hold	\$10.77 ▲ 7.70%	12M Price Target \$12.50	52-Week Range \$5.85 – \$13.74	Market Cap \$487M
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CRNC: Bouncing Back as Options Traders Pile In

WHAT'S CHANGED

- CRNC popped 7.7% to \$10.77 on heavy volume (~2M shares — more than triple the recent average), even though there was no fresh news this morning. That kind of move on no headlines usually means somebody big is buying.
- Options traders are leaning bullish — the put/call ratio is 0.26, meaning for every bearish bet there are ~4 bullish ones. There's also unusual activity in July \$12 calls (bets the stock hits \$12 by July), with volume more than 2x the existing open interest.

IMPLICATIONS

This looks like a short-squeeze or momentum trade kicking off — the stock had been drifting lower from \$10.88 to \$10.00 over the past few sessions, and today's volume spike with bullish options flow suggests traders are positioning for a bounce. The recent BYD partnership expansion (LLM-powered in-car AI — basically ChatGPT for your car dashboard) is the underlying story people are getting excited about again. But keep in mind: they missed Q2 earnings back in May, so this is a sentiment trade, not a fundamentals trade.

VALUATION

At \$487M market cap on roughly \$240M of expected revenue, you're paying about \$2 for every \$1 of sales — that's actually pretty cheap for an AI-adjacent name (SoundHound trades at 20x+ revenue). The discount exists because Cerence is barely growing and still losing money, while SoundHound is growing 80%+. Fair value is probably \$11-13 if the turnaround sticks, with real upside to \$17+ only if they prove revenue can grow again.

KEY RISKS

- They're a legacy voice-AI company getting squeezed by both Big Tech (Google, Amazon Alexa in cars) and newer players like SoundHound — losing one big automaker contract could tank the stock.
- Still losing money and revenue has been shrinking, not growing — without a clear path to profitability, the stock stays a "show me" story.
- Today's pop on no news could fade fast if the buying was just short covering (traders who bet against the stock buying back to close their bets) rather than real long-term investors.

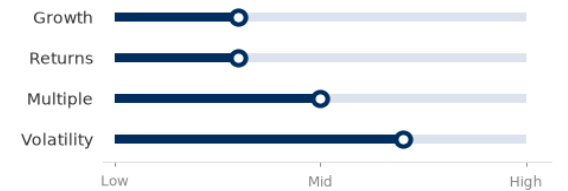
RECENT NEWS

- Why SoundHound's Pipeline Growth Matters for the SOUN Stock** Zacks · 2026-05-22 14:25
- Is SoundHound Stock Still a Strong AI Play After the Q1 Selloff?** Zacks · 2026-05-13 15:10
- Cerence (CRNC) Q2 Earnings Miss Estimates** Zacks · 2026-05-08 02:25

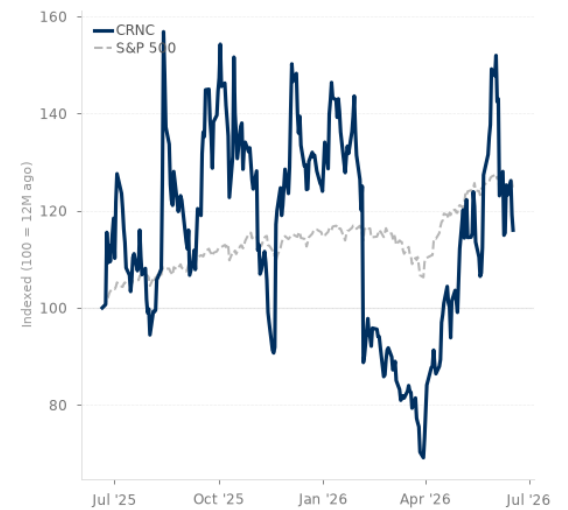
Key Data

Price (USD)	\$10.77
12M Price Target	\$12.50
Upside / (Downside)	+16.1%
Market Cap	\$487M
FY2026E Revenue	\$240M
FY2027E Revenue	\$260M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$12.50	\$11.25	\$9.50
6 Months	\$14.50	\$12.00	\$8.50
1 Year	\$17.00	\$12.50	\$7.00
2 Years	\$22.00	\$14.00	\$6.00
5 Years	\$35.00	\$18.00	\$4.00
10 Years	\$55.00	\$25.00	\$3.00

SECTOR INTELLIGENCE

HEATING UP: AI infrastructure, voice/conversational AI, anything tied to autonomous driving software

COOLING OFF: Legacy auto suppliers, traditional software names without an AI angle

ROTATION WATCH: Money is hunting for "cheap AI" — names that haven't run up 300% yet but have a credible AI story. CRNC fits that bucket, which is part of why we're seeing this bid.

RELATED PLAY: If voice-AI in cars catches fire, SoundHound (SOUN) is the higher-growth, higher-risk version of this trade. Nuance's old parent Microsoft also benefits indirectly.

OUTPERFORMERS & PEER CONTEXT

- SOUN (SoundHound AI): The momentum darling of voice AI — growing revenue ~80% and trades at a massive premium because investors believe the AI story.
- GOOGL (Alphabet): Quietly dominating in-car voice through Android Auto — the elephant in the room that makes Cerence's life harder.

CRNC CONTEXT: CRNC is the laggard of the voice-AI space — cheap for a reason, but today's move suggests traders think the gap has gotten too wide.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — Decent risk/reward at these levels but the fundamentals haven't actually turned yet, so this is more of a trade than an investment.

POSITION SIZE: 1-2% of portfolio — small because the company is still unprofitable and could easily disappoint again; you want exposure without getting hurt if it rolls over.

ENTRY POINTS: I'd wait for a pullback to \$9-10 rather than chase today's 7.7% pop — momentum moves often give you a better entry within a few days.

TIME HORIZON: 12-18 months — you need at least 2-3 quarters of earnings to see if the BYD deal and other partnerships actually move the revenue needle.

WHEN TO BAIL: Sell if they miss revenue again next quarter, lose a major automaker, or if the stock breaks below \$8 on heavy volume (that means institutions are exiting).

HEDGING: If you own CRNC, consider pairing with a small SOUN position — that way you're betting on voice-AI as a theme rather than picking the exact winner. Or just buy a protective put (a contract that pays off if the stock falls) at the \$9 strike for downside insurance.